Q.1 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False
B. True

Q.2 Environmental elements are categorized as external factors that affect pricing decisions.

A. True
B. False

Q.3 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. False
B. True

Q.4 Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

A. False
B. True

Q.5 The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

A. False
B. True

Q.6 Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

A. False
B. True

Q.7 Style is a larger concept than design. Design describes the appearance of a product.

A. True
B. False

Q.8 The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.

A. True
B. False

Q.9 Customer retention is perhaps the best measure of quality—a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

A. True
B. False

Q.10 Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

A. False
B. True
